



NAME: INDEX NO.....
 CANDIDATE SIGN:DATE.....
 SCHOOL RANDOM NO. :

565/1

BUSINESS STUDIES
 PAPER 2
 TIME: 2 HOURS

Kenya Certificate of Secondary Education (KCSE)

565/1

BUSINESS STUDIES
 PAPER 2
 TIME: 2 HOURS

INSTRUCTIONS TO CANDIDATES

ANSWER ANY FIVE QUESTIONS IN THE SPACES PROVIDED IN THE QUESTION PAPERS.

EXAMINER'S USE

1a	1b	2a	2b	3a	3b	4a	4b	5a	5b

6a	6b

TOTAL GRAND SCORE MARK	



1.
 - a) Explain five advantages of automatic vending machines (ATM) to a trader. (10 mks)
 - b) Explain five differences between monopoly and perfect completion market. (10 mks)
2.
 - a) Explain five roles of stock exchange in the Kenyan economy.
 - b) Explain five causes of a deficit in the balance of payment.
3.
 - a) Explain five structural changes that a country may experience when undergoing development
 - b) Umoja had the following balances as at 31st Dec, 2009.

Building	560,000
Debtors	96,900
Bank loan	452,500
Creditors	247,000
Furniture	408,170
Gross Profit	520,600
Motor vehicle	900,000
Discount allowed	142,000
Lighting	25,200
Interest on loan	1,200
Closing stock	72,500
Rent received	120,000
Repairs on buildings	60,000
Repairs on furniture	72,030
Repairs on motor vehicle	300,000
General expenses	102,100
Capital	1,400,000

Prepare Umoja's:

- a) Profit and loss for the year ended 31st Dec 2009. (5 ½ marks)
- b) Balance sheet as at 31st Dec 2009. (4 ½ marks)



4. a) Explain five advantages of M-Banking to an economy. (10 marks)
- b) Explain five ways in which commercial attaches may boost export trade. (10 mks)
5. a) Explain five causes of demand pull inflation. (10 mks)
- b) Explain the procedure for claiming compensation by the insured. (10 mks)
6. a) Explain six circumstances under which one may use telegram over telephone communication.
- b) The following details were extracted from the books of Bonga traders during the years ended 31st July 2001.

Sales Sh.	1,840,000
Opening Stock Sh.	360,000
Closing Stock Sh.	460,000
Expenses	16% of sales
Margin	20%

Calculate

- i) Gross profit
- ii) Cost of Sales
- iii) Purchases
- iv) Net profit